Larsen and Toubro Finance

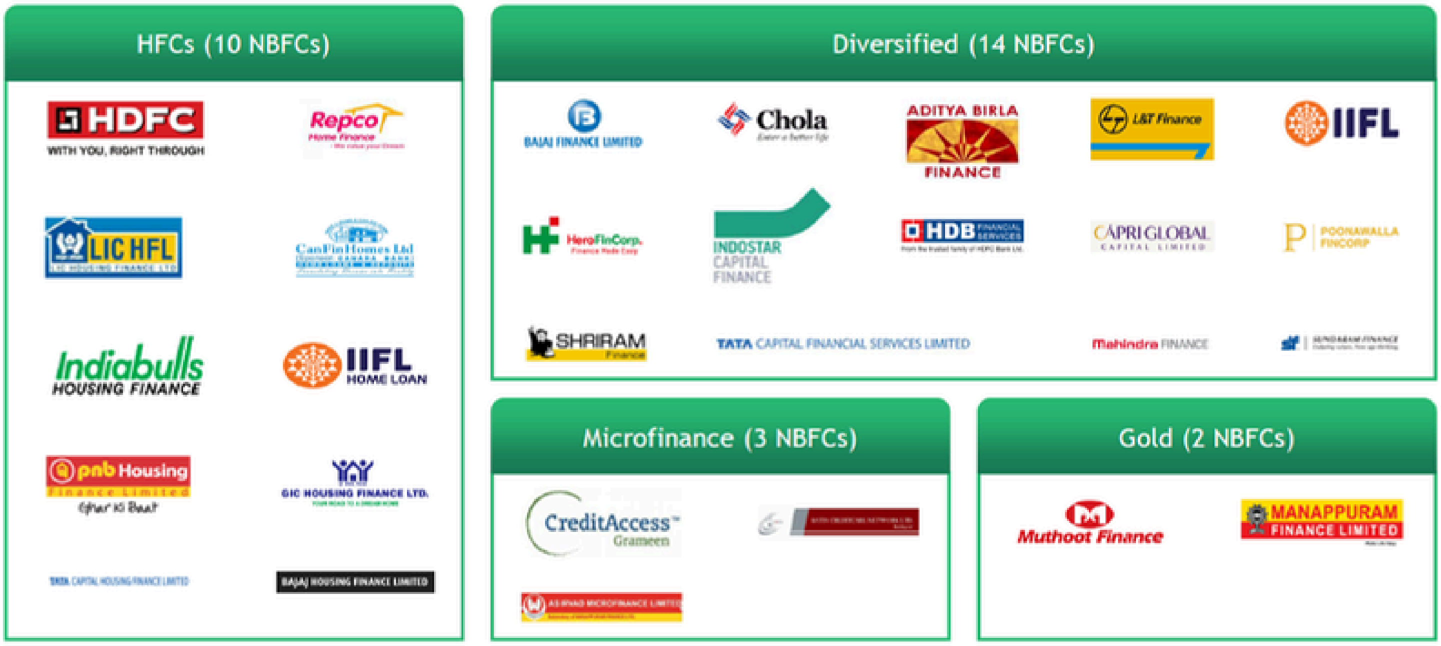
Industry Analysis

L&T Finance Holdings operates within the financial services sector, specializing in offering financing solutions to both public and private sectors. The company operates specifically in the NBFC sector in India, which caters to both, the served and the underserved population in India.
NBFC sector in India plays a crucial role in the growth of the financial landscape of the Indian economy. It serves as an entry point of the source of funds for various individuals who require loans and other financial services to fulfill their requirements. However the current sector faces challenges due to :

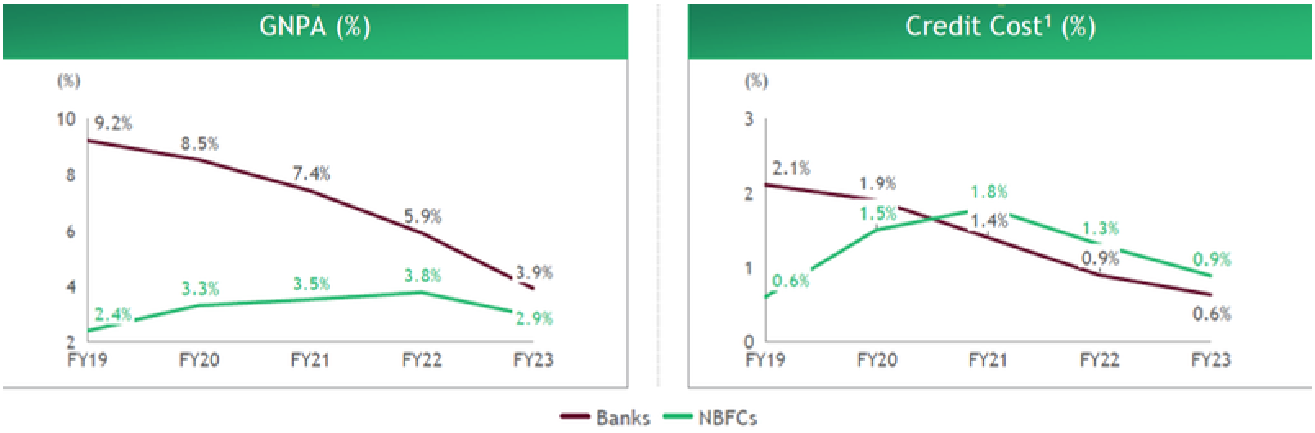
- Experts predict sector consolidation due to tighter liquidity, riskier business models, and asset-liability mismatches among some NBFCs.
- Rising interest rates and economic slowdown are putting pressure on NBFC profitability.
- The RBI has implemented several regulatory changes that affect NBFCs, including revised fair lending practices and stricter exposure standards for government-owned NBFCs.

Some specific highlights include -

- NBFC valuations have remained flat over 2023, with Diversified NBFCs outperforming other categories of which L&T Finance is a member.
- In FY23, the NBFC sector's absolute profit increased by 39% year on year, with Diversified (68%) and MFI (220%) NBFCs leading the way.
- Diversified (28%) and Microfinance (33%). NBFCs are driving credit growth for the overall sector (17%), and banks' lending to NBFCs has increased by approximately 2x in the last decade.



Paint Sector in India



NBFC GNPA and Credit Cost in comparison to the banks

Total Balance Sheet	Shareholder's fund	Total Income
Rs 25.7 L crore	Rs 4.6 L crore	Rs. 2.9 L crore

Opportunities in NBFC -

- Credit demand remains high, particularly in underserved segments, creating opportunities for NBFCs to grow.
- The government is introducing initiatives such as the Credit Guarantee Fund Scheme for MSMEs to support NBFC lending.

Given the overall landscape of NBFC sector, it is poised to grow given the support of the other financial institutions and the government.

Company Analysis

L&T Finance Holdings Ltd is an NBFC that provides a wide range of financial products and services, including farm equipment financing, two-wheeler financing, micro loans, consumer loans, home loans, loans against property (LAP), real estate financing, infrastructure financing, infrastructure debt funds, and other services.

A systemically important core investment company (CIC) is an NBFC that meets certain criteria, such as:

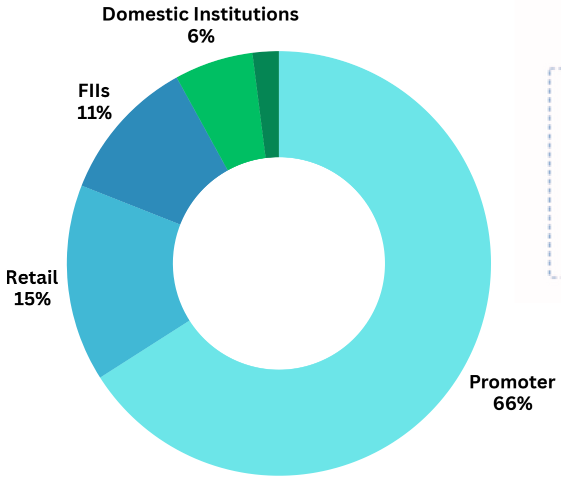
- The asset size is at least Rs 100 crore.
- It accepts public funds.
- At least 90% of its total assets are held in the form of equity, preference shares, loans, debentures, or debt in group companies.

It is a subsidiary of Larsen & Toubro which holds a 63.5% stake in the company. L&T received an equity infusion of Rs. 1,900 crore in FY2021 and Rs. 2,000 crore in FY2018. LTFHL's portfolio comprised of loans to retail segments Microloans (13%), Farm Equipment (12%), Two-wheeler (8%), and Home Loans/LAP (12%) and Consumer loans (~1%) while the balance 55% comprised loans to the wholesale segments (Real Estate Finance) (14%), Infrastructure Finance (38%) and defocused book (3%) as of FY21.

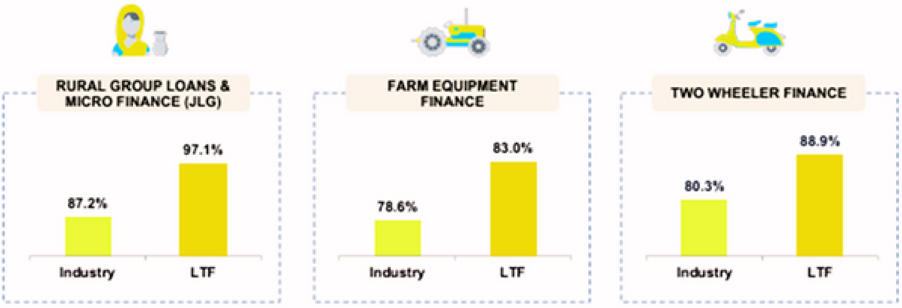
As of 2024, L&T Finance has a majority of promoter holding which is positive indication of the stakeholder involvement in the core business and offerings.

Its advantages are -

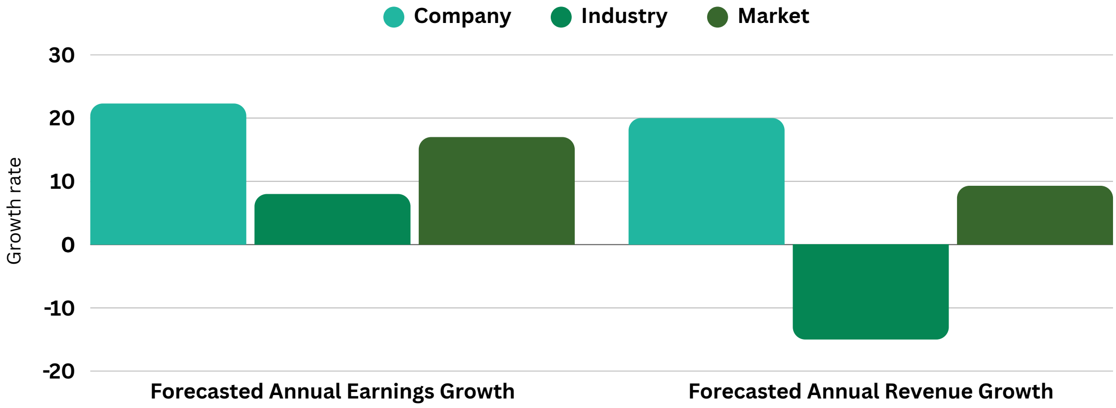
- Strong brand reputation and parent company support
- Wide range of financial products and services



Shareholding pattern



Business Focus



Growth Comparison of Business

Overall outlook on the company states that the company is in a fairly good position in comparison to its competitors and is on the verge of dominating the upcoming financial year with its performance across all the internal businesses.

Competitor Analysis

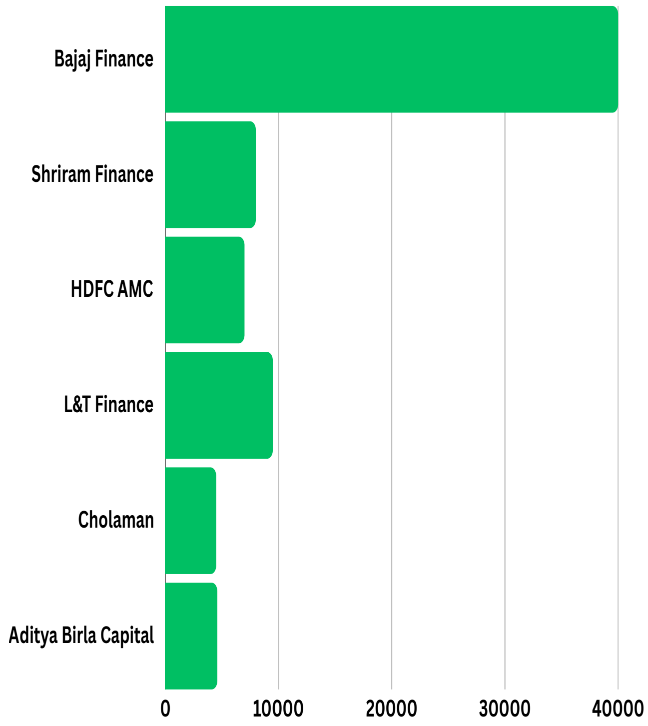
Major competitors of L&T Finance have been players in the NBFC sector and other financial institutions as follows:

- Bajaj Finance Limited
- Shriram Finance
- HDFC AMC
- Aditya Birla Capital
- Cholaman Inv and Finance

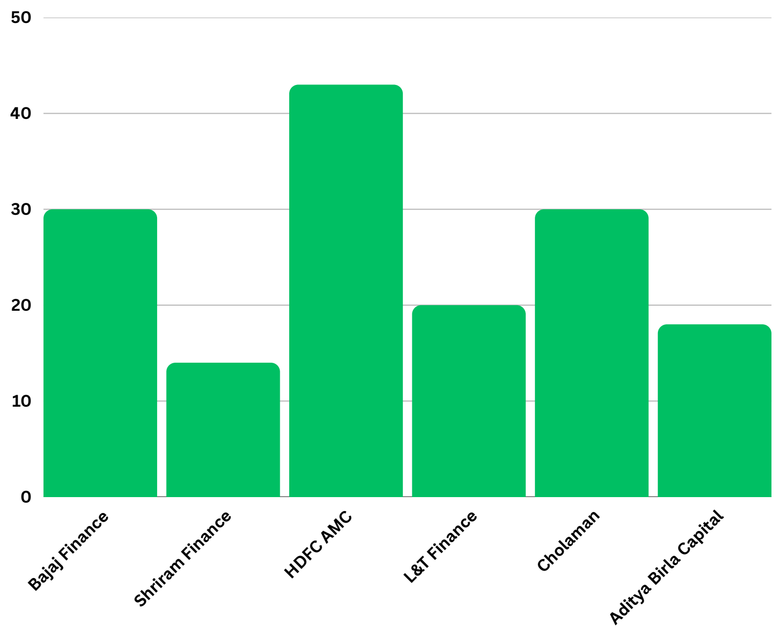
NBFC sector is heavily funded and is a largely capital intensive business. Many of the times the overall market growth is steady, keeping a positive outlook for the company.

L&T Finance is compared with its peers on the basis of -

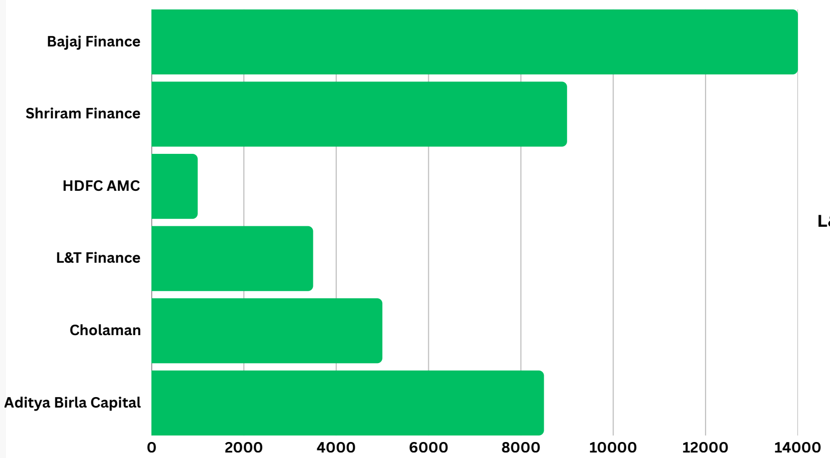
- Market Cap
- ROA and ROE
- Sales
- P/E



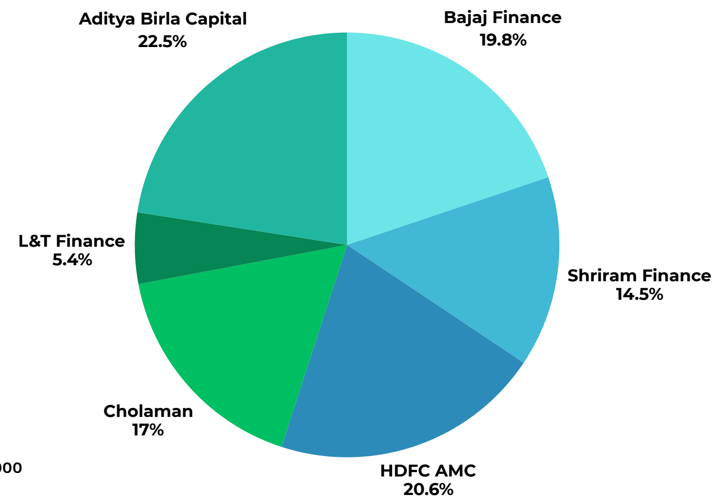
Market Capitalization in Crores



P/E Ratio



Last Sales Quarter



ROE

Key Takeaway Points -

- L&T Finance ranks fifth among its peers in terms of sales, indicating a moderate market share and competitive edge in the financial sector. Bajaj Finance Limited is the clear leader with the highest sales.
- Bajaj Finance Limited, Shriram Finance, Cholaman Inv & Fin, Aditya Birla Capital and L&T Finance have their P/E ratios in the range of 10 to 30 which displays that they are more in line with the EPS.
- L&T Finance has a significantly lower ROE of 5.4% compared to other companies depicted in the chart. This indicates that L&T Finance's efficiency in generating profit from shareholders' equity is lower than the other companies listed.

Financial Analysis

The financial analysis of L&T Finance is performed on the last 3 years data in order to give a clear picture of the year on year performance of the firm with respect to its financial health -

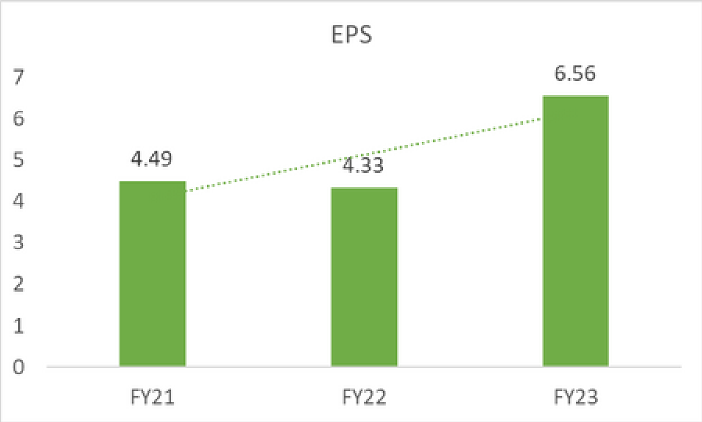
Concise Income Statement -

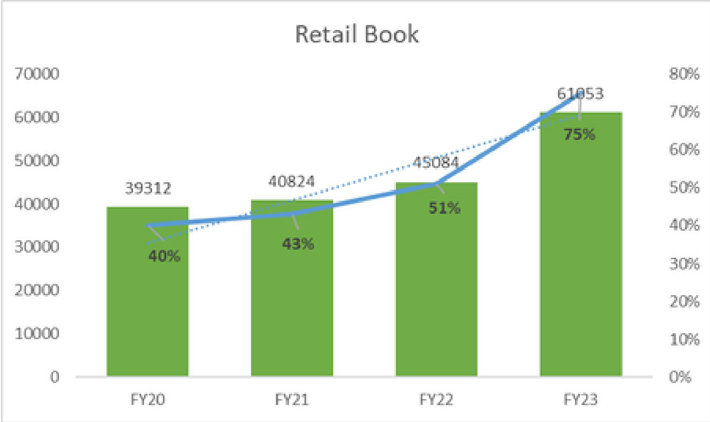
INR (m)	FY21	FY22	FY23
Total revenue from operations	**13352.85**	**11929.7**	**12774.95**
Total income	13753.33	12323.55	13301.7
YoY Growth		-10.65802432	7.085257802
Finance costs	7212.62	5753.79	5797.24
Total expenses	12717.6	11100.7	11171.05
YoY Growth		-12.71387683	0.633743818
Tax Expense			
Current Tax	689.72	210.89	626.32
Deferred Tax	-166.61	162.73	-453.95
PAT from continuing Operations	**738.23**	**849.23**	**4645.45**
YoY growth		15.0359644	447.0190643
Total Comprehensive Earnings	**991.81**	**1113.37**	**1581.71**

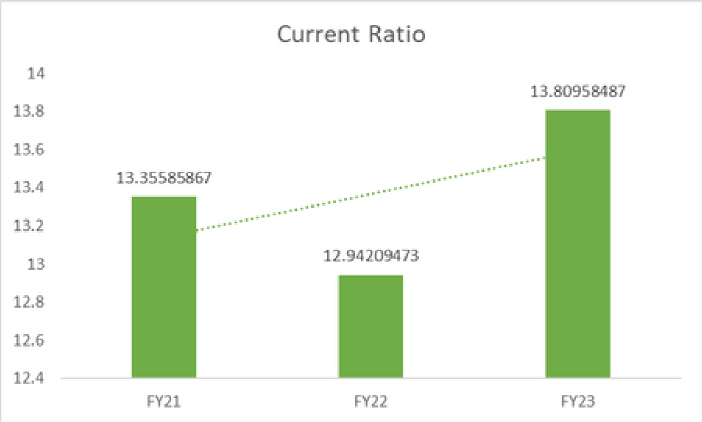
Concise Balance Sheet

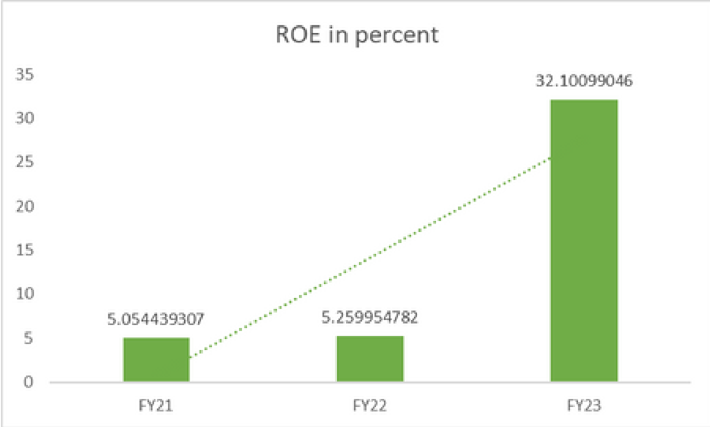
INR (m)	FY21	FY22	FY23
ASSETS			
Cash and Cash equivalents	6947.79	4915.98	9108.68
Bank Balance other than (a) above	1479.18	3054.44	3640.23
Loans	87030.25	82469.44	75154.55
Investments	8872.13	11916.94	14366.2
Total Financial Assets	**104554.91**	**102720.91**	**102677.38**
Current Assets (net)	663.87	695.99	677.28
Deferred taxes (net)	1635.28	1444.57	1861.09
Total Non FInancial Assets	**4416.74**	**3353.86**	**3684.76**
Total Assets	**108971.65**	**106902.18**	**106362.14**
LIABILITIES			
Debt Securities	46027.46	42194.1	36105.38
Borrowings (other than debt securities)	37582.58	39323.81	44139.59
Total Financial Liabilities	**89566.42**	**86348.14**	**84455.53**
Current Liabilities	312.36	235.45	176.2
Non Financial Liabilities	434.88	341.53	288.8
EQUITY			
Equity Share Capital	2469.45	2474.04	2479.67
Other Equity	16303.75	17473.66	19048.7
Total Liabilities and Equity	**108971.65**	**106902.18**	**106362.14**

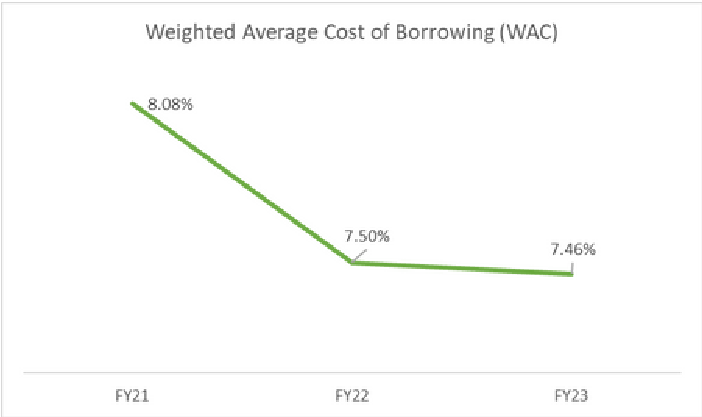
Analysis Specifics

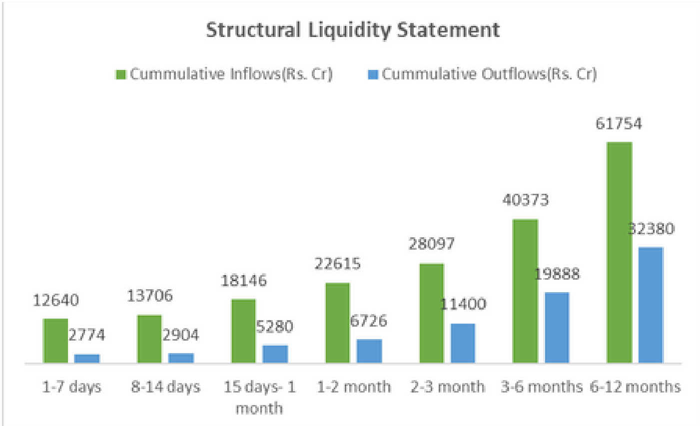












Key Takeaways -

- Cost of borrowing being lower shows a healthy trend among analysts
- Multiple ratios such as Current ratio and EPS, show a healthy trend thus giving a positive outlook for the company.
- Though, many of the indicators show a positive trend, the company is still on the path to recovery giving out a cautious signal to invest.

MANAGEMENT DISCUSSION AND CONCALLS

The concall focused on 5 major factors -

- Enhancing customer acquisition;
- Sharpening credit underwriting;
- Implementing a futuristic digital architecture;
- Heightened brand visibility; and lastly,
- Capability building

Company specifics -

The recent merger of the subsidiaries of L&T Finance Holdings Ltd. namely, L&T Finance Ltd., L&T Infra Credit Ltd., and L&T Mutual Fund Trustee Ltd. were merged into L&T Finance Holdings Ltd. (LTF).

Customer Acquisition -

- Focus on broadening the customer funnel and working on both horizontal expansion and vertical penetration across all lines of the business.
- Acquisition strategies across products has resulted in disbursements to about 6.9 lakhs new customers in Q3FY24 against 6.5 lakhs new customers in Q2FY24.

Sharpening Credit Underwriting -

- Developing a dynamic credit engine that not only ingests bureau data, but also other alternate data based trust signals. Started the process of building this new credit engine and constant progress being monitored.

Digital Architecture -

- On the digital part, worked on revamping the digital journeys for Home loan product and SME product and focusing on various platforms for these products for a smooth customer experience.
- Leveraging the channel multifold by using it not only as a new customer acquisition platform but also for the repeat business, collections and most importantly, the servicing needs of the customers.

Brand Visibility -

- This has been an area on which the company has been working in the past quarter.
- An array of marketing initiatives undertaken in Q3FY24. Conduction product-specific marketing campaigns. For example, the multicity festive awareness campaigns for Two-wheeler finance and wall branding campaigns in rural geographies for our rural businesses.
- Organization-wide marketing through brand awareness campaigns on World Cricket tournaments for bigger audience reach.

Company Specific Objectives -

- Improvement on the D2C app PLANET in order to enhance and improve customer needs. A key metric highlighted was 7.6 million downloads for the app which shows a good demand.
- Improvement in the retail business which includes disbursements in it rural business finance, farmer finance and urban finance.
- The company has a guidance of 7% risk cost to opex trajectory.

Future Outlook

Company has a bold vision going ahead in terms of becoming the market leader of the NBFC sector and the financial institution market through its services of -

- Lending
- Financial Advisory
- Other financial services

Company has its major vision - **@LAKSHYA 2026** which is a major aim of the company to reach the fintech scale in India in order to leverage its power of technology to scale their business to new levels, which is already being achieved in terms of its global penetration levels in the field of fintech and other technology institutions.

The overall vision stated brings a positive outlook on the company for being looked upon by the investors positively with a possiblity of being a long term investment option.

References:

- Income Statement and Balance Sheet: Annual report 2021, 2022 and 2023 of L&T Finance
- Company and Industry Analysis: BCG report - India's NBFC Sector roundup FY 23
- Management Discussion and Concall Takeaways: Screener, Annual Report of L&T Finance

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